

conversion and investment of his personal estate, with a discretion to the trustees as to the time, and the trustees decline to sell until in event the reversion falls into possession, here had the reversion been sold at the end of one year from the testator's death, the tenant for life would have received the interest of the purchase-money, and the fund therefore, when it falls into possession, represents the capital with the interim interest, and the Court, under these circumstances [formerly gave] the tenant for life out of the capital the difference between the money [actually] received and the value of the reversion estimated at one year from the testator's death of the sum in question on the assumption of its being payable on the day, when, as afterwards happened, it actually fell into possession (*b*). [But this method of computation has since been slightly modified, and the true method seems to be, to ascertain the sum which, put out at interest at 4 per cent. per annum on the day of the testator's death, and accumulating at compound interest at that rate with yearly rests and deducting income tax, would, with the accumulations of interest, amount on the day when the reversion falls in or is realized to the sum actually received. The sum so ascertained represents the corpus, and the difference between that sum and the sum actually received is income (*c*). This method of computation applies equally to any outstanding personal estate, the conversion of which the trustees in the exercise of their discretion postpone for the benefit of the estate, and which eventually falls in, as for instance a mortgage debt with arrears of interest, or arrears of an annuity with interest, or moneys payable on a life policy (*d*).

13. Principle applied to legacies.—Where a reversionary interest, which was available for the payment of pecuniary legacies, was retained unsold for many years for the benefit of the estate, it was held, when the reversion fell in, that the legatees were entitled to interest on their legacies from the expiration of one year from the testator's death (*e*).]

(*b*) *Wilkinson v. Duncan*, 23 Beav. 469; [*Wright v. Lambert*, 6 Ch. D. 649.]

Trusts, 24 Ch. D. 643; *Wright v. Lambert*, 6 Ch. D. 649.]

[(*c*) *Beavan v. Beavan*, 24 Ch. D. 649, n.; *Re Earl of Chesterfield's*

[(*d*) *Beavan v. Beavan*; *Re Earl of Chesterfield's Trusts*, *ubi sup.*]

[(*e*) *Re Blachford*, 27 Ch. D. 676.]